

RESOLUTION NO. XX-24

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF MORRO BAY MAKING FINDINGS FOR UNEXPENDED DEVELOPMENT FEES IN ACCORDANCE WITH GOVERNMENT CODE SECTION 66000 AND REVIEWING AND ACCEPTING ANNUAL DEVELOPMENT FEE DISCLOSURE INFORMATION

WHEREAS, the Mitigation Fee Act, Government Code Section 66000 *et seq.*, authorizes the City to impose, collect, and expend mitigation fees to offset the impacts of development within the City; and

WHEREAS, among the procedural requirements mandated by the Mitigation Fee Act is a requirement that beginning with the fifth fiscal year following deposit of development fees into a designated account, and each fifth fiscal year thereafter, the City make specified findings regarding any portion of the fees that remain unexpended; and

WHEREAS, the City has deposited all development impact fees that it has received in a separate non-commingled capital facilities fund established for such a purpose, pursuant to Government Code Sections 66006(a) and (b); and

WHEREAS, a portion of the fees currently deposited in the City's Development Impact Funds for: General Government (Administration), Traffic (Streets), Parks, Highway 41/Main Street, Traffic Impact, Storm Drain, Calvary Baptist Drain, Sewer Master Plan, and Flood Hazard Plan were collected over five years ago, and therefore the City wishes to make the findings required by Government Code Section 66001(d); and

WHEREAS, the City also wishes to memorialize that it has made public certain information, pursuant to the annual information disclosure requirements of Government Code Section 66006(b), including but not limited to the amount of the fee, the beginning and ending balance of the fee account or fund, and the interest earned thereon, available to the public at least fifteen (15) days before the City Council considers this matter. The information required by Government Code Sections 66001 and 66006 is set forth in the FY 2023-24 AB1600 Annual and Five-Year Report: City of Morro Bay ("Development Impact Fee Report") considered concurrently herewith; and

WHEREAS, on November 22, 2024, the information in the above-referenced recital was made available to the public as required by Government Code Section 66006(b); and

WHEREAS, on December 10, 2024, the above-referenced recitals were presented to City Council at a duly noticed, regularly scheduled public meeting.

NOW, THEREFORE, the City Council of the City of Morro Bay hereby finds, determines, and resolves as follows:

Section 1. The recitals set forth above are true and correct and are incorporated herein by

reference.

Section 2. The City Council has considered the full record before it, which may include but is not limited to the staff report, the Development Impact Fee Report, testimony by staff and the public, and other materials and evidence submitted or provided.

Section 3. The City Council finds that the General Government (Administration) Development Impact Fee Fund currently contains \$411,083.49. in unexpended Development Impact Fees collected more than five years ago. In accordance with Government Code section 66001(d)(1), the City Council finds as follows:

- A. Additional funds are needed to renovate city Administration facilities and the Veteran's Memorial Hall.
- B. There exists a reasonable relationship between the unexpended funds described above and the purpose for which they were generated because expanded City facilities are required to accommodate the additional service needs associated with the properties that paid these fees.
- C. The estimated total cost of expanded administrative facilities such as City Hall will be updated in the forthcoming capital needs assessment. The City's funding sources will include unexpended Development Impact Fees of \$411,083.49, future fees, and other available capital funding sources.
- D. The unexpended fees were deposited in the Administration Development Impact Fees Fund, which is the appropriate fund to finance administrative facilities. All future fees will also be deposited into this fund. The approximate date by which the above Development Impact Fee funds will be deposited into the appropriate account or fund for expenditure is 2026.

Section 4. The City Council finds that the Traffic Development Impact Fee Fund currently contains \$49,972.98 in unexpended Development Impact Fees collected more than five years ago. In accordance with Government Code section 66001(d)(1), the City Council finds as follows:

- A. Additional funds are needed to design and implement traffic improvements to mitigate impacts of new development.
- B. There exists a reasonable relationship between the unexpended funds described above and the purpose for which they were generated because the improvements will mitigate impacts of development of the properties that paid these fees.
- C. The estimated total cost of traffic improvements will be updated in the forthcoming capital needs assessment. The City's funding sources will include unexpended Development Impact Fees of \$49,972.98, future fees, and other available capital funding sources.
- D. The unexpended fees were deposited in the Traffic Development Impact Fees Fund, which is the appropriate fund to finance these traffic improvements. All future fees

will also be deposited into this fund. The approximate date by which the above Development Impact Fee funds will be deposited into the appropriate account or fund for expenditure is 2026.

Section 5. The City Council finds that the Storm Drain Development Impact Fee Fund currently contains \$4,208.00 in unexpended Development Impact Fees collected more than five years ago. In accordance with Government Code section 66001(d)(1), the City Council finds as follows:

- A. Additional funds are needed to design and improve the City's storm drain facilities to accommodate new development.
- B. There exists a reasonable relationship between the unexpended funds described above and the purpose for which they were generated because the storm drain improvements will mitigate impacts of development from the properties that paid these fees.
- C. The estimated total cost of storm drain improvements will be updated in the forthcoming capital needs assessment. The City's funding sources will include unexpended Development Impact Fees of \$4,208.00, future fees, and other available capital funding sources.
- D. The unexpended fees were deposited in the Storm Drain Development Impact Fees Fund, which is the appropriate fund to finance these storm drain improvements. All future fees will also be deposited into this fund. The approximate date by which the above Development Impact Fee funds will be deposited into the appropriate account or fund for expenditure is 2026.

Section 6. The City Council finds that the Calvary Baptist Drain Development Impact Fee Fund currently contains \$314.36 in unexpended Development Impact Fees collected more than five years ago. In accordance with Government Code section 66001(d)(1), the City Council finds as follows:

- A. Additional funds are needed to design and improve the storm drain adjacent to Calvary Baptist.
- B. There exists a reasonable relationship between the unexpended funds described above and the purpose for which they were generated because the improvements to the storm drain will help mitigate the impact from development of the properties that paid these fees.
- C. The estimated total cost of this storm drain improvement will be updated in the forthcoming capital needs assessment. The City's funding sources will include unexpended Development Impact Fees of \$314.36, future fees, and other available capital funding sources.
- D. The unexpended fees were deposited in the Calvary Baptist Storm Drain Development Impact Fees Fund, which is the appropriate fund to finance this storm drain improvement. The approximate date by which the above Development Impact Fee funds will be deposited into the appropriate account or fund for expenditure is 2026.

Section 7. The City Council finds that the Sewer Master Plan Development Impact Fee Fund currently contains \$51,072.58 in unexpended Development Impact Fees collected more than five years ago. In accordance with Government Code section 66001(d)(1), the City Council finds as follows:

- A. Additional funds are needed to update the City's Sewer Master Plan.
- B. There exists a reasonable relationship between the unexpended funds described above and the purpose for which they were generated because the Sewer Master Plan will positively impact the properties that paid these fees.
- C. The estimated total cost of Sewer Master Plan will be updated in the forthcoming update to the One Water Plan and any required follow up. The City's funding sources will include unexpended Development Impact Fees of \$51,072.58, future fees, and contributions from the Sewer Operating Fund.
- D. The unexpended fees were deposited in the Sewer Master Plan Development Impact Fees Fund, which is the appropriate fund to finance the Sewer Master Plan development. All future fees will also be deposited into this fund. The approximate date by which the above Development Impact Fee funds will be deposited into the appropriate account or fund for expenditure is 2026.

Section 8. The City Council finds that the Flood Hazard Development Impact Fee Fund currently contains \$2,391.00 in unexpended Development Impact Fees collected more than five years ago. In accordance with Government Code section 66001(d)(1), the City Council finds as follows:

- A. Additional funds are needed to improve flood hazard areas in the city.
- B. There exists a reasonable relationship between the unexpended funds described above and the purpose for which they were generated because the improvements to the flood hazard areas will help mitigate impacts from development of the properties that paid these fees.
- C. The estimated total cost of improvements to the flood areas will be updated in the forthcoming capital needs assessment. The City's funding sources will include unexpended Development Impact Fees of \$2,391.00, future fees, and other available capital funding sources.
- D. The unexpended fees were deposited in the Flood Hazard Development Impact Fees Fund, which is the appropriate fund to finance the improvements. All future fees will also be deposited into this fund. The approximate date by which the above Development Impact Fee funds will be deposited into the appropriate account or fund for expenditure is 2026.

Section 10. In accordance with Government Code Section 66006(b), the City Council has reviewed and accepted the annual disclosure information made available to the public regarding City mitigation fees which was presented to the City Council and also placed on file with the City

Clerk.

PASSED, APPROVED AND ADOPTED this 10th day of December, 2024.

Carla Wixom, Mayor

ATTEST:

Dana Swanson, City Clerk

APPROVED AS TO FORM:

City Attorney

CITY OF MORRO BAY)
COUNTY OF SAN LUIS
OBISPO)
STATE OF CALIFORNIA)

I, Dana Swanson, City Clerk of the City of Morro Bay, California, do hereby certify that the foregoing Resolution No. xx-24 was duly passed and adopted by the City Council of the City of Morro Bay at the regular meeting thereof, held on the 10th day of December, 2024, and was signed by the Mayor of the said City, and that the same was passed and adopted by the following vote:

AYES:

NOES:

ABSENT:

ABSTAIN:

Dan Swanson, City Clerk

CITY OF MORRO BAY
ANNUAL STATUS REPORT ON RECEIPT AND USE OF DEVELOPMENT IMPACT FEES
JUNE 30, 2024

Government Impact Fees

Government Impact Fees are collected to ensure that new development pays the cost of infrastructure expansion required to meet the needs of that new development, effectively transferring the cost burden of growth from the existing rate and taxpayers.

The collected fees are held in fund 900, Government Impact Fees Fund. They can be used for capital projects for new facilities, vehicles, and rehabilitation and/or renovation of existing facilities, so long as the rehabilitation or renovation is needed to serve the new development that has paid the fee.

Beginning Fund Cash Balance FY 2023-24 (07/01/2023)						1,753,623
	Bal	Fees	Interest	Fees	Remaining	
	7/1/2023	Collected	Earned	Used	Balance	
Administration Fees	\$ 678,201	\$ 40,455	\$ 8,693	\$ -	\$ 727,350	
Police Fees	\$ 56,610	\$ 13,443	\$ 2,889	\$ 47,000	\$ 25,942	
Fire Fees	\$ 92,563	\$ 14,767	\$ 3,173	\$ 80,000	\$ 30,504	
Street Fees	\$ 655,962	\$ 64,453	\$ 13,850	\$ 597,950	\$ 136,315	
Storm Drain Fees	\$ -	\$ 44,371	\$ 9,535	\$ -	\$ 53,906	
Parks Fees	\$ 270,286	\$ 60,367	\$ 12,972	\$ 292,300	\$ 51,325	
	\$ 1,753,623	\$ 237,856	\$ 51,111	\$ 1,017,250	\$ 1,025,341	
Uses of Funds						
Interfund Transfer to Local Roadway Safety Plan					\$ 47,000	
Interfund Transfer to Bonita Fire Station Remodel					\$ 80,000	
Interfund Transfer to Hwy 1/Hwy 41 Main Intersection					\$ 597,950	
Interfund Transfer to Coleman Park Project					\$ 292,300	
Total Use of Funds					\$ 1,017,250	
Total Ending Balance FY 2023-24 (06/30/2024)						\$ 1,025,341

Potential future projects are provided below. These are potential projects and may or may not be approved in the City's current budget. Any expenditure from these funds would require advance Council authorization and approval.

Government Impact Fees Potential Future Projects

Fund 900

Potential Future Projects		Total Funds Available	
Administration Fees			
City Administration Facility improvements		TBD	
Development Impact Fee Nexus Study	\$	60,000	
Veteran's Hall Building Improvements	\$	500,000	
Total Potential Admin Projects	\$	560,000	\$ 718,656
Police Fees			
Police Department Facility Improvements		TBD	
Total Potential Police Projects	\$	-	\$ 23,054
Fire Fees			
Bonita Fire Station Remodel		TBD	
Total Potential Fire Projects	\$	-	\$ 27,330
Street Fees			
Local Road Safety Plan Implementation and Safety Improvement	\$	200,000	
SR1/SR41/Main Street Intersection Improvements	\$	2,100,000	
Total Potential Street Projects	\$	2,300,000	\$ 122,465
Storm Drain Fees			
Storm Drain Improvements	\$	80,000	
Total Potential Storm Drain Projects	\$	80,000	\$ 44,371
Parks Fees			
Coleman Park Project	\$	1,400,000	
Total Potential Parks Projects	\$	1,400,000	\$ 38,353
Total Potential Future Projects	\$	4,340,000	\$ 974,229

Affordable Housing In-Lieu Fees

Affordable Housing In-Lieu Fees are collected from residential development projects when the construction of affordable housing units is impractical. The required in-lieu fee is to be paid to the City prior to the issuance of a building permit (where square footage is added) or a final tract map. The Affordable Housing In-Lieu Fee is \$0.45 per square foot. The collected fees are held in the 941 fund and used solely for the affordable housing program activities, such as the Housing Element development and implementation, or transfer to another public agency for providing affordable housing in the City.

Beginning Fund Cash Balance FY 2023-24 (07/01/2023)					\$ 147,192
Sources of Funds					
	Bal 7/1/2023	Fees Collected	Fees Used	Remaining Balance	
	\$ 147,192	\$ 11,479	\$ -	\$ 162,146	
Uses of Funds					
No Funds Used in FY 2023-24				\$ -	
Total Use of Funds				\$ -	
Total Ending Balance FY 2023-24 (06/30/2024)					\$ 162,146
Potential Future Projects					
Local Housing Agency or affordable housing/homelessness project				\$ 55,000	
Total Potential Projects				\$ 55,000	

Sewer Impact Fees

Pursuant to Government Code, revenues derived from the City's impact fees can only be used for the purpose for which the charges are collected. Wastewater impact fees recover costs for buying in to existing facilities and assets. As such, this share of each fee represents a reimbursement to the City's existing customer base for previously funded facilities and may potentially be used for any purpose. However, the City's practice is conservative and uses these fees to exclusively fund capital improvements. The collected fees are held in the 922 fund and are used solely for wastewater capital improvements.

Beginning Fund Cash Balance FY 2023-24 (07/01/2023)					\$0.00
Sources of Funds					
	Bal 7/1/2023	Fees Collected	Fees Used	Remaining Balance	
	\$ -	\$ 34,358	\$ 34,358	\$ -	
Uses of Funds					
Interfund Transfer to WRF Capital Project				\$ 34,358	
Total Use of Funds				\$ 34,358	
Total Ending Balance FY 2023-24 (06/30/2024)					\$0.00
Potential Future Projects					
Beachcomber Sewer Improvements				\$ 6,200,000	
Total Potential Projects				\$ 6,200,000	

Water Impact Fees

Pursuant to Government Code, revenues derived from the City's impact fees can only be used for the purpose for which the charges are collected. Water impact fees are designed to recover the cost of existing water system facilities and assets as well as the cost of system upgrades and expansion needed to serve the City. The collected fees are held in the 921 fund and are restricted to be used solely for water system facilities, assets and system upgrades and expansion.

Beginning Fund Cash Balance FY 2023-24 (07/01/2023)					\$0.00
Sources of Funds					
	Bal 7/1/2023	Fees Collected	Fees Used	Remaining Balance	
	\$ -	\$ 34,231	\$ 34,231	\$ -	
Uses of Funds					
Interfund Transfer to WRF Capital Project				\$ 34,231	
Total Use of Funds				\$ 34,231	
Total Ending Balance FY 2023-24 (06/30/2024)					\$0.00
Potential Future Projects					
Nutmeg Tank and other Pressure Zone Improvements					\$1,800,000
Morro Basin Wellfield Improvements					\$1,250,000
Total Potential Projects					\$3,050,000

Trust & Agency Fund Impact Fee Revenues

The city has historically used the Trust & Agency fund (fund 515) to hold funds with restricted purposes. Three impact fees remain in the Trust & Agency fund: traffic impact, sewer master plan impact, and flood hazard plan impact. In addition, previous years balances exist for the Highway 41/Main Impact, Storm Drain Impact and Calvary Baptist Drain Impact. These funds are restricted to use of related projects and improvements.

Beginning Fund Cash Balance FY 2023-24 (07/01/2023)					\$442,131
Sources of Funds					
	Bal 7/1/2023	Fees Collected	Fees Used	Remaining Balance	
Highway41/Main (2600)	\$ 228,050	\$ -	\$ 228,050	\$ -	
Traffic Impact/All Sources (2607)	\$ 49,973	\$ -	\$ -	\$ 49,973	
Storm Drain (2613)	\$ 14,374	\$ -	\$ -	\$ 14,374	
Calvary Baptist Drain Impact (2616)	\$ 314	\$ -	\$ -	\$ 314	
Sewer Master Plan (2622)	\$ 146,073	\$ -	\$ 95,000	\$ 51,073	
Flood Hazard Plan (2740)	\$ 3,348	\$ -	\$ -	\$ 3,348	
	<u>\$ 442,131</u>	<u>\$ -</u>	<u>\$ 323,050</u>	<u>\$ 119,082</u>	
Uses Of Funds					
Interfund Transfer to Hwy 41/Main/1 Capital Project					\$228,050
Interfund Transfer to One Water Plan Capital Project					\$95,000
Total Use of Funds					\$323,050
Total Ending Balance FY 2023-24 (06/30/2024)					\$119,082

Potential future projects using impact fee balances in the Trust and Agency Fund (515) are provided below. These are potential projects and may or may not be approved in the City's current budget. Any expenditures from these funds would require advance Council authorization and approval.

Potential Future Projects	Funds Available	
Traffic Impact/All Sources	\$	49,973
Pavement Improvement Project	\$	5,000,000
Potential Future Projects	\$	5,000,000
Storm Drain Impact	\$	14,374
Storm Drain Improvements Citywide	\$	1,000,000
Potential Future Projects	\$	1,000,000
Calvary Baptist Drain Impact	\$	314
Local Road Safety Plan Plan Impementation and Safety Improvements	\$	367,000
Potential Future Projects	\$	367,000
Sewer Master Plan Impact		
One Water Plan Update	\$	51,073
Potential Future Projects	\$	190,000
Flood Hazard Plan Impact	\$	3,348
Storm Drain Improvements Citywide	\$	1,000,000
Potential Future Projects	\$	1,000,000
Total Potential Future Projects & Available Funds	\$	7,557,000
		119,082